The Central government converted these recommendations into a Debt Consolidation and Relief Facility (DCRF). The DCRF helped states to undertake notable debt consolidation and reduce their interest liabilities.

Sixth, the Twelfth Finance Commission also recommended reforms in the system of financing states' projects with the use of multilateral and bilateral funds. It recommended that funds flowing from these institutions should go to states on original terms. Described as the back-to-back system, it literally established a direct financing relationship between multilateral and bilateral agencies on the one hand and the states on the other with the Central government only acting as a conduit.

This meant states could get funds for the original long tenure of the loan (thirty-five years in case of the International Development Association, or IDA, for example), and loans as loans and grants as grants. As multilateral and bilateral loans are usually priced at relatively very low rates, reflecting the AAA credit rating of lending organizations like the World Bank, states' debt servicing liabilities reduced drastically. States were expected to make provisions for the foreign exchange risk using part of the savings resulting from lower interest rate payments.

These reforms fundamentally changed the fiscal relationship between the Centre and the states with respect to debt financing. Over the years, beginning in 2005–06, the flow of loans from the Centre stopped almost entirely. Refinancing, restructuring and debt swap schemes helped reduce states' cost of borrowing and servicing liabilities substantially.

The reforms initiated by the NDA government were continued in the same spirit by the UPA government that came to power in 2004. By 2006 or so, the phenomenon of overdrafts disappeared almost completely in all the states. WMAs became few and far between. The hitherto regular visits of state chief ministers and finance ministers to the Union finance minister to get funds or some accommodation from the Centre became rare.